



**The Grammar of Decoupling: A Cognitive-Linguistic
Perspective on Firms' Sustainability Claims and
Stakeholders' Interpretation**

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**The Grammar of Decoupling:
A Cognitive-linguistic Perspective on Firms' Sustainability
Claims and Stakeholders' Interpretation**

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ABSTRACT

Can firms deceive their stakeholders, by failing to deliver on their commitments to undertake sustainability practices without being detected? Extant theory posits that, due to information asymmetry, stakeholders struggle to comprehend the actual change in firms' practices. In contrast, we advance a cognitive-linguistic perspective to explain why stakeholders are sometimes misled. Accordingly, we propose that firms' deception does not appear in the content of their communication, but in its linguistic properties, which derive from how managers cognitively construe the sustainability challenge. Thus, firms cover the same points of content in their reports, but firms that practice what they preach use more complex styles of language than do firms that decouple their action from their statements. Moreover, we theorize that generalist stakeholders and stakeholders with conflicts of interest are unable to detect these linguistic nuances, whereas specialist stakeholders can. We find evidence for this cognitive-linguistic perspective in a textual analysis of grammatical structure in 261 interviews conducted in a large field study of 12 multinational corporations and their stakeholders. This lens advances our understanding of how firms deceive and how stakeholders can detect such deception and opens a new and promising avenue for research on firm-stakeholder relations.

Firms often adopt sustainability policies without changing their business practices accordingly (Marquis & Qian, 2013). For sustainability activities to be implemented across firms, external stakeholders must be able to detect those firms that say one thing but do another. Surprisingly, the impetus for change often comes from inside, rather than outside, firms (Tilcsik, 2010), and there is limited evidence that external actors get firms to take their commitments seriously. Information asymmetry offers an important reason as to why stakeholders do not detect whether firms actually implement policy. From this perspective, stakeholders simply lack data about firms’ practices (see Christmann & Taylor, 2006).

The growing array of external metrics (Sauder & Espeland, 2009) should thus make it easier to identify which firms implement policy and which do not. But, clearly metrics are only part of the problem. Even when public information is readily available, such as when firms do not buy back shares after their executives announce stock repurchase programs, stakeholders seemingly ignore firms’ decoupling of policy and practice (Zajac & Westphal, 2004). More relevant to contexts such as sustainability, it is unclear “how to achieve and measure complex social goals” (Bromley & Powell, 2012: 36) so that inference from data about whether firms are making adequate efforts to implement their espoused policies is inherently uncertain. Stakeholders must interpret firms’ claims and the available data (Gephart, 1978). Their judgments rest not only on their ability to process information, but also on their motivation to interpret firms’ claims appropriately (Bazerman & Moore, 2013; Kunda, 1990).

The aims of this paper are to identify *which* stakeholders are persuaded by firms that do not keep to their commitments, and *why*. We advance a cognitive-linguistic perspective (Langacker, 2008). The cognitive-linguistic perspective proposes that there is a relationship between language and speakers’ mental representations (Hart, 2014). Subtle, often subliminal, choices about grammar provide important information about how social actors construe the world around them. The cognitive-linguistic perspective has implications both for how firms

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4 communicate their social goals and for how stakeholders interpret firms' efforts in achieving
5 these and, in turn, how they potentially legitimize firms' actions (see Hart, 2011). Notably,
6 linguistic structure sheds light on how people categorize phenomena, such as when managers
7 articulate commitments to social goals, and the perspectives people employ in assessing
8 phenomena, such as when stakeholders make sense of firms' performance. Differences in
9 *how* actors structure and express their thoughts, rather than merely differences in *what* they
10 say, manifest distinct cognitive processes (Tenbrink & Freksa, 2009).
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18 Our investigation unfolds in the arena of corporate sustainability, where some firms
19 adopt sustainability policies *and* implement sustainability practices yet their peers adopt
20 similar policies without implementing relevant practices. By sustainability, we mean
21 economic, social, and ecological initiatives that help firms meet their "short-term financial
22 needs without compromising their (or others') ability to meet their future needs" (Bansal &
23 DesJardine, 2014). We conduct a mixed-method analysis of 12 multinational corporations,
24 arranged in matched pairs in six industry settings. Employing a dataset of 119 interviews with
25 executives, 142 evaluations by external stakeholders, and data on policy adoption and
26 practice implementation, we adopt a three-pronged approach. We first apply grammatical
27 analysis to managers' sustainability commitments and to firms' declarations in their
28 sustainability reports. We compare firms that consistently implement policy ('implementors')
29 and those that do not ('decouplers'). We then turn to how stakeholders evaluate firms'
30 sustainability performance, explaining the features that distinguish those that provide
31 accurate evaluations from those that do not. In the third stage, to explain the associations we
32 uncover in stage 2, we analyze the verbal accounts that stakeholders provide when making
33 their evaluations.
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51 Firms that implement policy consistently and those that do so only inconsistently
52 communicate similar content in their reports. Yet, managers in each type of firm talk
53 differently when defining their sustainability commitments. Managers in implementor firms
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use exclusive forms of language to specify what sustainability is and what it is not (“qualified commitments”). In contrast, decouplers use inclusive forms of language to make sweeping claims. Further, in their reports, implementors use the past tense to highlight actual deeds rather than future promises (“empirical orientation”). Our cognitive-linguistic analysis also indicates plausible reasons why some stakeholders do not see through these sweeping claims. Stakeholders who receive resources from firms evaluate their sustainability positively. In doing so, they adopt firms’ perspectives as indicated by using “we” to describe their relationships with focal firms (“shared identity”). Further, they employ a future perspective (“ontological commitment”), inferring compliance going forward. In contrast, specialist stakeholders, with a focus on a single issue, provide accurate evaluations. They often articulate more precise definitions of sustainability (“non-negotiables”) and refer to past events rather than make unwarranted inferences about the future (“empirical orientation”).

We discuss the implications of the cognitive-linguistic perspective for theories of decoupling. We suggest that uncovering decoupling is not only a problem of information asymmetry between firms and stakeholders. Rather, despite subtle differences in language, it is difficult to identify which firms make truthful claims because the content of firms’ communication is similar. Furthermore, stakeholders are motivated to interpret data to present themselves in the best light. We note the value of the cognitive-linguistic perspective for assessing corporate communications and stakeholders’ positions. Attention to the structure of language, which is more difficult for social actors to manipulate than the content of what they say (Ireland & Pennebaker, 2010), complements the dominant focus in institutional theory on rhetoric (Suddaby & Greenwood, 2005).

DECOUPLING AND STAKEHOLDER PERCEPTIONS OF FIRMS

In this section, we provide an overview of how stakeholders sustain or challenge firms’ decoupling. Whilst research does not conclusively predict which stakeholders will ‘see through’ firms’ decoupling attempts, we highlight the value of the cognitive-linguistic

perspective for understanding decoupling from the angle of firms' communications and stakeholders' interpretations.

Decoupling

Decoupling—the “gaps between (organizations’) formal structures and their ongoing activities” (Meyer & Rowan, 1977: 341)—is at the center of interest in management research (Yoshikawa, Tsui-Auch & McGuire, 2007). Firms commit to socially desirable policies without modifying their conduct. By making public commitments (King, Lenox & Terlaak, 2005), firms secure resources and goodwill from external constituencies. Decoupling can involve deliberate impression management. Some firms release information to confuse, or outright trick, stakeholders about their activities (Graffin, Carpenter & Boivie, 2011), whilst others adopt standards to avert close monitoring of their practices (King & Lenox, 2000).

Scholars have recently drawn attention to a less deliberate form of decoupling: means-end decoupling. Means-end decoupling (Bromley & Powell, 2012) acknowledges that, despite trying to implement practices, firms may fall short of their public commitments. Means-end decoupling occurs when the link between policies and the practices necessary to realize firms' commitments is ambiguous. In other words, rather than try to outwit their stakeholders, decision-makers may not know how to keep the promises they make.

If managers are uncertain about how to realize their public commitments, uncertainty amongst external constituencies about the quality of firms' implementation is likely to be even greater. Though firms widely report their social contributions and environmental emissions, report users may not understand the data or rely on contextual cues to aid their interpretation (see Gephart, 2006). Efforts to understand which stakeholders identify firms' state of practice have focused predominantly on how shareholders and analysts perceive firms' image-enhancing efforts (Fiss & Zajac, 2006). Yet, there is no guarantee that all stakeholders will interpret firms' implementation in the same way.

Stakeholder Awareness of Decoupling

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In their seminal article, Meyer and Rowan (1977) acknowledge stakeholder complicity in decoupling. They argue that decoupling occurs when stakeholders willingly accept firms’ commitments at face value. Firms have an interest in engendering favorable stakeholder opinion. By cooperating with stakeholders, firms afford them the opportunity to peek backstage, as for example when an environmental non-profit undertakes a project with an oil company to reduce the pollution from its refineries. Stakeholders have the chance to observe whether practices are consistent with the policies firms espouse. Such monitoring can increase the pressure on firms to comply with sustainability and environmental standards (Christmann & Taylor, 2006).

Access to information does not always mean that stakeholders will accurately evaluate firms’ compliance. Interdependence between firms and stakeholders can harm monitoring (Kivleniece & Quelin, 2012). As stakeholders become involved in firms’ activities, they jeopardize their impartiality. Conflicts of interest neutralize opposition (Gray & Ariss, 1985) through co-optation (Burt, 1983). Sometimes, co-optation leads to tacit endorsements (Starr & Macmillan, 1990). For example, the Nature Conservancy, an environmental organization, received almost \$10 million from BP in the years before the 2010 Deepwater Horizon oil spill in the Gulf of Mexico: many of its members viewed the donations as a tacit reciprocal arrangement to stay silent about the dangers of deep-sea drilling (Stephens, 2010).

Recent research has distanced itself from depicting decoupling as an activity involving complicit stakeholders. Stakeholders might simply lack adequate information and might fail to understand whether firms consistently implement the policies they claim to. This line of inquiry raises the question: Are all stakeholders equally deceived? Firms face a variety of stakeholders. Within the sustainability arena, some stakeholders focus their attention on a single issue, while others attend to a broad range of issues. For example, a union representing

workers in a single industry sector is more specialized than an advocacy group campaigning against human rights abuses *and* climate change *and* poverty.

Ex ante, it is unclear which stakeholders are best equipped to detect firms that do not keep to their commitments. Generalist stakeholders with a diffused focus have an advantage when multiple data points have to be weighed (Srinivasan, 2008) to recognize patterns of behavior. The downside is information overload (Hansen & Haas, 2001) and reliance on unreliable information cues (Troutman & Shanteau, 1977). A non-governmental organization such as the Ford Foundation simultaneously pursues interests in human rights, education, and economic development. Unable to muster evidence of practices across all these domains, this stakeholder might be confined to data that firms choose to make public (see Marquis & Toffel, 2014). In contrast, stakeholders with a narrow focus might develop domain-specific expertise. Expertise in one domain increases the capacity to ask relevant questions and to process noisy data (Fredrickson, 1985). For example, a labor union might gather its own data on specific practices (e.g., employee treatment).

The Cognitive-Linguistic Perspective

Institutional theory has long shown an interest in how social actors explain and rationalize their conduct (Suddaby & Greenwood, 2005) through “verbal explanations of behavior” (Elsbach, 1994: 57). Firms and stakeholders alike use language strategically to persuade others and to present themselves in the best light (van Leeuwen, 2008; Mills, 1940). Whilst analyzing language can be useful - research has gained insight into decoupling from paying attention to executives’ discourse (e.g. Tilcsik, 2010) – there is a need for caution in interpreting content.

In contrast to a focus on content, cognitive perspectives on language start from the premise that mental representations are encoded in the ways in which ideas are formulated. From this perspective, grammar - *how* speakers express themselves rather than *what* they say – is intrinsically meaningful. Grammar is “an essential aspect of the conceptual apparatus

through which we apprehend and engage in the world” (Langacker, 2008:4). Because the same objective reality can be described in different ways, grammar reflects the – usually subconscious – choices of the speaker and can promote one viewpoint over another (Hart, 2014). Though social actors control the content of their communications, they are less able to manipulate consciously how they express this content (Ireland & Pennebaker, 2010). This makes grammar useful for distinguishing deceptive from truthful communications. For example, deceptive communications show evidence of simpler structures than do truthful communications (Newman, Pennebaker, Berry & Richards, 2003), which link and contrast ideas in more nuanced ways.

Rather than use discrete classes of words (e.g. pronouns, prepositions) as the main point of departure, cognitive approaches to analyzing grammar primarily focus on how units of content are grounded and structured into more complex expressions (Langacker, 2001). Grounding denotes how phenomena are situated with respect to the speaker and hearer, and in time and location, and is suggestive of speakers’ viewpoints and, occasionally, even their ideological positions (Hart, 2014). Some important grounding elements are pronouns and verbs. Pronouns can be used to distinguish the speaker from the hearer, or the judge from the object of evaluation, thereby situating social identity (Travis & Torres Cacoullos, 2012). For example, contrast *we*, which implies commonality between the speaker and another actor, and *I*, which distinguishes the speaker from other actors. The tense and aspect of verbs can situate events in the past or future and indicate probabilities (Klein & Li, 2009). For example, *might* and *will* indicate the speaker’s focus on future and potential events or states, whereas *is* indicates a focus on actual ongoing events or states.

Units of content are also structured into more complex expressions. Structuring, by linking concepts through drawing parallels and contrasts, is suggestive of how actors conceptualize phenomena (Langacker, 2008). Individual ideas are often linked by conjunctions and conjunctive adverbs such as ‘and,’ ‘but,’ ‘additionally.’ These grammatical

words provide clues to mental models (Axelrod, 1976). Developed understandings tend to involve complex linguistic structures, that distinguish between different points of view and describe contingencies (Pennebaker & King, 1999). For example, “firms have to protect shareholder interests, *but not* at the cost of the environment” arguably represents a more complex understanding than does the sentence “firms have to protect shareholder interests *and* the environment” because it draws attention to a tension between two issues (see Conway et al., 2008).

Though analyzing grammar can contribute to theory generation (Loewenstein et al., 2012), the approach does not yet lend itself as well to theory testing. One reason for this is the diversity of elements that compose grammar. Correspondingly, empirical advances in this domain often involve induction to uncover associations between structure and attitudes or behaviors, and to verify the plausibility and meaning of these relationships (Chung & Pennebaker, 2008; McEnery & Hardie, 2012).

EMPIRICAL ANALYSIS

We collected qualitative and quantitative data to elaborate theory about the circumstances in which decoupling in the sustainability arena persuades, and fails to persuade, stakeholders. Firms often adopt sustainability policies for reputational reasons (Bansal & Roth, 2000), and many responses have a limited impact on actual corporate conduct (King & Lenox, 2002). We conducted a multiple-case, matched-pair study involving 12 multinational corporations to assess how stakeholders distinguish firms that integrated sustainability practices in their operations and decision-making from those that adopted, but did not implement, sustainability practices.

The model is grounded in three investigations. In part 1, we document differences in how implementors and decouplers communicate sustainability commitments. In part 2, we assess the key stakeholder attributes that predict whether they “see through” untruthful claims. In part 3, we analyze stakeholders’ verbal accounts to explain why these attributes matter for

stakeholders’ interpretive work. Our approach is analytic induction, which extends theory through insights from analyzing data (Robinson, 1951). Precedents are found in fields at an intermediate stage of development (Edmondson & McManus, 2007). Provisional testing draws inferences, and qualitative observations illuminate the mechanisms at play (Battilana, Sengul, Pache & Model, 2015). We draw on three key concepts to guide our investigation: the potential for language – particularly, the structure of linking ideas - to shed light on firms’ communication and stakeholders’ interpretive work; the motivation of stakeholders; and the capacity of stakeholders to identify the state of practice inside firms. Our linguistic analysis follows Chung and Pennebaker (2008), who propose an approach involving established coding schemes and induction to make sense of emerging patterns.

Data Sources

We relied on the following data sources: (1) interviews with executives in 12 multinational corporations, (2) sustainability reports from the same firms, (3) interviews with representatives of the firms’ stakeholders, and (4) two social rating agency databases. The data collection process, which occurred from 2005 to 2007, yielded detailed information on sustainability practices and stakeholders’ understandings of firms’ sustainability performance.

Sample of Firms and Measurement of Decoupling

We adopted a matched pair design to control for conditions that could otherwise explain sustainability performance perceptions. Within each pair, the two firms differ in the degree of decoupling (that is, the “implementor” adopts and implements policy whereas the “decoupler” espouses similar policy but fails to implement it consistently). Each pair of firms is matched by belonging to the same sector, having a similar size in terms of revenues, and being headquartered in the same region.

The interview data consist of 12 of the 17 cases used by Crilly, Zollo and Hansen (2012), who examined the antecedents to firms’ decoupling of sustainability policy from practice rather than the consequences for stakeholder evaluations. Whereas the 2012 study

employed fuzzy-set Qualitative Comparative Analysis on pairs and triads of firms to analyze not only implementors and decouplers, but also firms in between these two extremes, the matched pair approach in the present paper requires contrast cases rather than intermediate cases. As a result, three cases are excluded because only two contrast cases in any pair can be analyzed and intermediate cases cannot be. In addition, the two firms in the pharmaceutical industry are also excluded because, in addition to not showing sufficient contrast in decoupling (i.e. one has an intermediate level of decoupling), they are not matched on headquarter location.

Consistent with Crilly, Zollo and Hansen (2012), we followed a two-step procedure to identify our sample: an initial selection, followed by an in-depth rigorous final choice. To reduce the universe of firms to plausible candidates, we used social rating data from the Innovest and GC+ data bases to establish a shortlist of matched firms espousing similar sustainability policies but differing in the extent to which they implemented them. We detail these data in Appendix 1. This step established a shortlist but did not provide a final selection as we could not simply rely on social ratings (see Chatterji et al., 2015).

In our second step, we used the shortlist and conducted interviews with multiple managers in each firm to assess the extent to which they had implemented their espoused policies. This second step yielded six pairs of matched firms comprising an implementor and a decoupler firm (see Table 1).

Insert Table 1 about here

To properly assess decoupling, we conducted 119 semi-structured interviews with executives from the 12 firms (for an average of 9.9 interviews per firm), interviewing directors overseeing sustainability, functional directors, and country managers. Interviews were recorded and transcribed. We asked specific questions about the role of sustainability in strategic decision-making, in daily operations, and in performance evaluation and remuneration. Strategy, operations, and incentives are “core aspects” of organizations

(Hannan & Freeman, 1984: 156) that go deeper than the mere espousal of policy. We avoided charged questions such as, “Do you do what you say you are going to do?”

To measure *policy espousal*, we used three dimensions reflecting policy positions that were adopted without necessitating change to activities: the existence of ethical codes, reporting sustainability performance according to Global Reporting Initiative (GRI) guidelines, and membership in the UN Global Compact. All firms in the sample publish sustainability reports and ethical codes of conduct for managers. All but one of the 12 firms have signed the UN Global Compact¹ and report progress according to GRI guidelines. Although GRI guidelines stipulate that firms report performance on 24 sustainability and environmental criteria, firms measure and monitor their own performance (GRI, 2000).

To determine *integration*, we assessed firm behaviors in three areas. Using the interview data in conjunction with social ratings, we classified a firm as pursuing implementation if sustainability criteria were meaningfully used in making strategic decisions, creating customer value, and promoting and remunerating managers. We classified a *decoupler firm* as one that espoused sustainability policy, yet did not pursue consistent implementation. We classified an *implementor firm* as one that espoused sustainability policy and was integrating this policy in its strategy and operations. Though decoupling is not always binary (Yoshikawa et al., 2007), the firms in our final sample differ systematically over multiple dimensions (social, environmental) in the extent to which they implemented sustainability practices.

INVESTIGATION 1. THE GRAMMAR OF ARTICULATING SUSTAINABILITY

¹ The exception is one firm in the IT industry that has high sustainability performance and is an implementor firm in our sample. It refuses to sign the Global Compact because it is concerned about lending legitimacy to an initiative that relies on firms to report their own implementation.

We first examine how firms articulate their commitments to sustainability. This analysis sets the ground for understanding whether stakeholders see through the claims of decouplers.

Method

The 119 interviews with executives, as described above, were our first data source. One-on-one discussions are an important way in which firms communicate with stakeholders, and structured interviews permit cross-case comparison by controlling for extraneous influences. Sustainability reports from the 12 firms are our second data source. In these reports, we focused on the letters from the CEO. These letters summarize firms' public positions on sustainability and report progress made in achieving objectives.

We undertook textual analysis to enable systematic comparison (Gephart, 1993). We read the interview transcripts, tagging salient themes (Jay, 2013). 86% of interviews were transcribed verbatim and were used in the textual analysis. In the remaining interviews, notes were taken, which provided contextual information but were not a suitable source for analysis. Consistent with our overview, we focused on grammatical constructions and the ways in which managers linked content to build their definitions of sustainability. When asked about specific practices (e.g. "Does meeting sustainability goals have a direct effect on your remuneration?"), executives from decoupler firms distinguished between formal policies, on the one hand, and accepted practices, on the other hand. However, as we read the transcripts, we were struck by how executives framed their responses to the question "What is the corporate responsibility of firms in your sector?" Implementors appeared to make more contingent claims.

We then moved from this more open-ended coding to automated coding, applying a well-established scheme, the Linguistic Inquiry and Word Count (LIWC) (Pennebaker, Francis & Booth, 2007), to responses defining firms' responsibilities. The LIWC categorizes over 2,000 words to core grammatical classes (e.g. conjunctions and prepositions) as well as

to categories relevant to cognition (e.g. causal attributions). The LIWC identifies the words belonging to each category and calculates the prevalence of word categories, controlling for the length of the text. The categories contained in the LIWC are internally reliable and externally valid (Pennebaker et al., 2007) and hence useful for research (Brett et al., 2007).

We repeated the same method on the letters to stakeholders in firms’ sustainability reports collected in the same year as the interviews. These reports are a tool for communicating with stakeholders (Etzion & Ferrero, 2010).

Results

Our analysis reveals that implementors’ claims were expressed in the form of exclusive language when defining sustainability. Exclusive language (a category of words consisting mainly of conjunctions, prepositions, and negations, such as ‘versus,’ ‘but,’ ‘only,’ ‘not,’ if,’ Pennebaker & King, 1999) draws distinctions between ideas, by contrasting concepts, qualifying statements and providing caveats (König, 1991). Instead of using exclusive language, deceivers are prone to exaggeration and grand claims (Bond & DePaulo, 2006), as expressed through inclusive language (a second category of words, mainly conjunctions, prepositions, and some adverbs, including “and,” “additionally”). We summarize our results in Table 2, which juxtaposes the two firms in each pair. The measures of exclusive language and inclusive language, generated by the LIWC, indicate the prevalence of each type of word in the total definition.

Overall, executives in implementors use more exclusive language (3.06% of all words used) when defining firms’ responsibilities than their peers in matched firms which do not implement sustainability policies as consistently (2.26% of all words used). Implementors use less inclusive language (5.84% versus 6.94% of all words). Implementors’ exclusive language highlights a contingent understanding of the issue at hand and more specific commitments. In aggregate, interviewees from implementors and decouplers differ in their usage of exclusive and inclusive forms of language. The difference across implementors and

decouplers is significant both in that implementor executives use more exclusive language ($t(101) = 2.40$; $p < 0.05$) and less inclusive language ($t(101) = 1.98$; $p = 0.05$) than their decoupler counterparts. As per Table 2, the direction of the relationship is consistent across five of the six pairs. The energy pair is the sole exception².

Insert Table 2 about here

Deception often comes to the fore in linguistic structure rather than content. As Newman and colleagues (2003: 667) argue, “deceptive communications are less cognitively complex.” Being less than truthful can be mentally taxing, so that deceivers reduce the cognitive load in their speech (Vrij, Granhag & Porter, 2010) by using scripted language and simple expressions (DePaulo et al., 2003). Low complexity in deceptive talk is expressed through a low prevalence of exclusive language (Hancock, Curry, Goorha & Woodworth, 2008; Newman et al., 2003). The difference becomes clear when contrasting decouplers’ and implementors’ definitions. Implementor executives use exclusive language to make conceptual distinctions and to qualify their firms’ responsibilities. Their language establishes what lies outside the scope of their responsibility.

We all have a responsibility for improving or contributing to this society as we best can. I think that that’s also a role for business. *But* I think it’s very important to state here that it’s *not*, I mean it’s *not* a give-away thing. It’s a contribution *within* your sphere of influence. So I think that as a company, there’s a boundary for companies’ responsibilities. ... We’re selling chemicals. That’s our business, we’re *not* selling human rights, we’re *not* selling environmental solutions ... *but* I think you have to make that very clear. (*CLEANCHEM executive*)

We have a computer product for children. The idea is to familiarize and make relatively young kids comfortable with technology... And we purposely target. For example, here, we would *not* give the product to elementary schools in good areas, *but* we would pick the inner city schools, schools with a high degree of ethnic minorities, schools which have *not* as much funding as other schools have. (*PRECISION executive*)

² A plausible reason is that some interviews with these two firms were conducted in Spanish and Italian. The LIWC processes texts in both languages, and we also had the transcripts translated into English. Nonetheless, the nuance of language use can differ across languages. In other pairs, all interviews were conducted in English.

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3 These examples of setting priorities differed markedly from popular understandings
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5 that firms have to do good and be all things to all people. Similarly, executives used exclusive
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7 language to highlight necessary trade-offs and compromises. Communicating
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9 interdependencies between different dimensions of performance is consistent with complex
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11 thinking (Conway et al., 2008).
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14 The first responsibility as a company is to be economically successful. ... How do you
15 do that? ... You *can't* be ethical and you *can't* provide those goods *if* you're polluting
16 rivers and responsible for unhealthy communities. (*GREENMINE executive*)
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18 The responsibility of the company is to make money for shareholders. *But* more and
19 more, companies have come to understand that this can *only* be done long-term in a
20 sustainable way *if* we identify the key stakeholders that a company has on top of its
21 shareholders, and then in a dialogue with these stakeholders, identify the prerequisites
22 for keeping their licence to operate. (*CLEANCHEM executive*)
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25 It was less common for executives in decoupler firms to specify contingencies to their
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27 responsibility. Many executives viewed their responsibilities as open-ended. In so doing, they
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29 used inclusive language (e.g. 'all,' 'also') to connect ideas as essentially equivalent.
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32 (Multinationals) have a big responsibility to protect society welfare *and all* these
33 aspects of collective integrity, human rights, environment, etc., so to protect society
34 welfare... As a company, we can contribute to society, we create tremendous amount of
35 jobs, we reduce poverty in the world by creating jobs... We have a big responsibility to
36 protect the environment... We *also* have a big responsibility *and* a big challenge to
37 contribute to society. (*TOXIC executive*)
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40 We are responsible for creating wealth for our shareholders *and* our people. We are
41 *also* responsible for what I call the security of supplies, distribution to society at
42 large... We have to conduct our operations in a responsible way, protecting the
43 environment, *and* the bottom line is very much about our social responsibilities *and* not
44 only vis-à-vis our staff, which we have to respect, *and* which we have *also* to motivate
45 *and* train *and* so on. *And also* in the community in which we operate we have to be very
46 aware of the footprint of our activities on the society at large, the environment, the
47 people, the communities *and* the stakeholders. (*METALIC executive*)
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50 In other cases, executives demonstrated a categorical understanding that one
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52 stakeholder group (typically, shareholders) was the important stakeholder group. A focus
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54 on a single actor or issue, without recognizing interdependencies, is common when people
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56 hold extreme views and/or are being less than open (Conway et al., 2008).
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Of course, the prevalence of exclusive language in the definitions provided by implementor executives might simply reflect different personal dispositions. To investigate this possibility, we assessed the language in interviewees' self-introductions at the outset of each interview before the discussion turned to sustainability. In their introductions, decoupler executives actually used more exclusive language (1.56% of all words) than did implementor executives (0.96%), though the difference was statistically insignificant.

Strikingly, the analysis of letters to stakeholders in the 12 firms' reports revealed similar patterns. As Etzion and Ferraro (2010) explain, the rise of reporting bodies such as the GRI means that firms report homogenous content. Indeed, the 12 firms' letters contain equivalent themes with conspicuous overlaps. Table 2 lists the three most frequently stakeholder groups mentioned in each letter in order of frequency. Within all pairs, at least two of the three most common stakeholders are identical. Apparently, the same content is on the top of executives' minds irrespective of whether their firms do what they say.

Yet, our reading of these letters reflected similar differences as we had noted in the interviews. Consistent with the interview analysis, implementors' letters contained more exclusive language (Table 2). In these letters, exclusive language was tied to nuanced definitions and was used to moderate sustainability claims (e.g. statements that it is "*not* always easy" to make a business case for sustainability). The exception was again the energy pair, where exclusive language was largely absent from both firms' letters. In contrast, decouplers' letters contained inclusive language, which was suggestive of broad commitments (e.g. nice-sounding statements that sustainability meant responding to the demands of multiple stakeholders without any prioritization).

Insert Table 2 about here

A second distinguishing feature was implementors' use of the past tense. In their letters, implementor CEOs described the results of the previous year more so than they made promises about the future. To confirm our impression, we coded future-oriented (e.g. 'will,'

‘would’) and past-oriented language (e.g. ‘did,’ ‘had’) using the LIWC and calculated the ratio. Across five pairs, the implementor was more likely to refer to the past (Table 2). Decouplers used the future to emphasize commitments rather than done deeds, whereas implementors focused on achievements. Looking more broadly at the reports, we found that, consistent with a focus on past performance, implementors reported more data. Whilst there was an industry effect here - data were common in heavily regulated industries – in each pair, the implementor displayed more data tables and charts in its report (Table 2). For example, whereas PRECISION reported cash donations and the monetary value of technology and services contributed in its corporate social programs, the only monetary values in SILICON’s report referred to the firm’s financial performance.

In sum, implementors articulate their understandings of, and commitments to, sustainability using more complex definitions than do decouplers. In their reports, implementors also describe past performance more than decouplers and showcase more data.

**INVESTIGATION 2. STAKEHOLDER ASSESSMENT OF FIRMS’
SUSTAINABILITY PERFORMANCE**

The differences in language uncovered in Investigation 1 are important insofar as they suggest the implementor executives convey more developed understandings of sustainability. Yet, such nuanced differences in language are difficult for onlookers to identify (DePaulo et al., 2003; Loftus, 2010). Decouplers’ use of less exclusive language (and thus their stronger claims) might persuade uninformed stakeholders.

Method

We gauged stakeholders’ assessment of a firm’s sustainability practice. Our aim was to select stakeholders who monitor corporations. Institutional intermediaries, such as regulators and non-governmental organizations are important in this regard (Yu, Sengul & Lester, 2008). Depending on industry pair, between 74 and 82 percent of interviewed stakeholders were industry-structure and socio-political stakeholders (regulators, unions,

governments, communities, NGOs), based on the typology of Post, Preston and Sachs (2002). These stakeholders impose costs on business and provide socio-political support (Henisz, Dorobantu & Nartey, 2014). The remaining interviewees were resource-providing stakeholders (e.g., customers, suppliers, and investors) or their representatives such as customer groups and supplier associations.

To select stakeholders to be interviewed, each firm helped us identify a large number of salient stakeholders. We then circulated the complete list among academic colleagues at seven universities and at an international organization that oversees stakeholder-company relationships. We interviewed, on average, 12 stakeholders per firm (142 in total). Interviews were recorded and transcribed. The stakeholders interviewed for decouplers and implementors were matched in terms of experience and size.

Stakeholders rated the sustainability performance of a focal firm. Our question was: “Where would you position the firm in honoring its responsibilities [in sustainability]?” with anchors of “very poorly” (1) and “very well” (10). In total, we received 108 numerical evaluations from interviewed stakeholders, who scored perceived sustainability performance evaluations on a scale of 1 to 10, because some were unable to assign a number to firms’ performance³. Using their answers, we created a variable, *perceived sustainability performance*. As some stakeholders felt unable to evaluate firms’ sustainability performance, this sample is arguably conservative as stakeholders who did not provide evaluations are, on balance, less likely to be able to tell apart firms that implement policy and those that do not.

Overall, stakeholders gave higher perceived sustainability performance scores to implementor firms. The difference in the mean evaluations of decouplers and implementors is 1.62 on a scale of 1 to 10 ($p < 0.01$)⁴. Yet, the variance in evaluations reveals a more nuanced

³ These are a subset of 301 stakeholder evaluations used by Crilly, Ni and Jiang (2015) in a separate analysis which does not have the same matched pair approach and involved stakeholders also evaluating non-matched firms. Moreover, using the expanded sample produces identical results to those reported here in terms of resource relations and stakeholder specialism.

⁴ Owing to the unequal variances across the two samples, we calculated the adjusted t statistic using individual sample standard deviations ($t = 4.73$; $p < 0.01$).

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picture. Figure 1 illustrates the lowest sustainability performance evaluations, the interquartile range, and the highest performance evaluations for implementor firms and, separately, decoupler firms. Evaluations in the upper right of the figure reflect decouplers being highly rated. The large variance in the decoupler evaluations reveals that *some* stakeholders apparently do not see through these firms’ claims.

Insert Figure 1 about here

In Table 3, we provide the mean evaluations per firm. Across all six pairs, the implementor receives higher scores from its stakeholder than does the decoupler. The difference is greatest in sectors, such as natural resources and chemicals, with a history of sustainability reporting. Table 3 breaks down the evaluations by stakeholder type (see below for details of coding), consistent with our overview: whether the stakeholder had received resources from the focal firm, and whether the stakeholder was a specialist with a focus on a sole domain of policy. Resource-receiving stakeholders provided high ratings, even to decouplers. Among resource-receiving stakeholders, the gap between evaluations given to implementors and decouplers is small (maximum gap = 1.57, in natural resources). Specialist stakeholders, on the other hand, appear to be discriminating. With the exception of the banking sector, specialists rated implementors higher, and the magnitude of difference is important (e.g. 4.80 in natural resources, and 5.50 in chemicals).

Insert Table 3 about here

These pairwise comparisons do not control for alternative explanations. Thus, we move to a more formal investigation of how stakeholders evaluate sustainability performance.

Dependent Variable

We used the aforementioned *perceived sustainability performance* as the dependent variable.

Independent Variables

Decoupler. We used the decoupler dummy variable that we created based on our interviews with managers in the firm. This variable indicates the state of practice within the firm and denotes whether the firm was decoupling (1) or implementing policy (0).

Resource relation. We coded as a binary variable whether the stakeholder had received resources from the firm whose sustainability performance it evaluated. Most frequently, resources consisted of philanthropic financial donations. In some cases, they consisted of the transfer of technology or expertise. Fewer than 7% of stakeholders in our sample had direct business transactions as customers or suppliers.

Specialist. We coded whether the stakeholder had a single focus of activity (specialist = 1), such as the environment or workers' rights, or multiple foci (generalist = 0). Stakeholders self-reported the area(s) in which they were active. In coding their replies, two researchers attended to six domains: economy (e.g., firms' economic performance, procurement), environment (e.g., use of materials, emissions), labor practices (e.g., health and safety), human rights (e.g., child labor, discrimination), society (e.g., communities, education), and product responsibility (e.g., customer safety, labelling). These six domains are the meta-categories of the GRI, and we used the GRI's 46 subcategories (GRI, 2006) to inform our coding. Specialists include unions monitoring labor practices, and environmental groups with a focus on ecology. Generalists include a mining action group assessing compliance in environmental policy and worker rights in Africa, and a campaign group for corporate reform that monitored governance, environmental policy, and human rights³. Transactional stakeholders were coded as generalists.

Control variables

Stakeholder type. Stakeholders with a social orientation might adopt a more critical stance towards firms' sustainability. To identify social stakeholders, we used the typology of

³ We collected mission statements published by 91% of stakeholders and coded, using the GRI scheme, whether the stakeholder expressed a singular focus in its mission. We calculated agreement between our interview- and mission-based measures. Cohen's kappa, a reliability measure which corrects for chance agreement between coders, is 0.603. Scores above 0.60 indicate substantial agreement (Landis & Koch, 1977).

Post et al. (2002), who identify a category of socio-political stakeholders which encompass regulators, unions, governments, and NGOs.

Contact frequency. To ensure that complicity between the firm and stakeholder is not simply a reflection of frequency of contact, which would indicate familiarity as the mechanism creating favorable evaluations, we created a variable (frequency). Stakeholders reported how often they interacted with the firm. We assessed the annual frequency. Our measure varies from zero (less than one meeting) to 12 (at least one meeting per month).

We provide descriptive statistics for our variables in Table 4. We estimated a fixed effects model, where all observations for each pair are coded with a dummy variable (Zhang, Traskin & Small, 2012), using OLS with robust standard errors clustered at the firm level (Models 1-5). The unit of our analysis is the stakeholder-firm dyad. We replicated the analysis using ordered probit (Models 6-10) to take account of the ordinal nature of our 1-10 measurement scale.

Insert Table 4 about here

Results

We report the results in Table 5. Model I is the baseline model that includes the pair fixed effects and the controls. In Model II, we introduce the decoupler variable. Consistent with our pairwise analysis, decouplers receive lower evaluations than implementors ($p < 0.01$). Model III includes the two variables that reflect the central characteristics of the stakeholder and its relationship to the focal firm. The existence of a resource relation in a dyad is associated with a higher performance evaluation ($p < 0.01$), suggesting that firms benefit from having resource relations with stakeholders. Specialist stakeholders give lower scores than their generalist counterparts ($p < 0.05$).

Insert Table 5 about here

Thus far, the results suggest that specialist stakeholders are harsher in their evaluations, but they do not show that they are discerning, i.e., that they rate decouplers more harshly than implementors. Also, though resource-receiving stakeholders rate firms highly, do all firms gain from resource relations with stakeholders? To address these issues, we introduced two interactive terms: decoupler * specialist, and decoupler * resource relations. Model IV shows that the coefficient for the term decoupler * specialist is marginally significant ($p = 0.06$). Specialist stakeholders provide more negative evaluations when the firm is a decoupler. They appear capable of distinguishing the type of firm. As shown in Model V, the coefficient for the interactive term decoupler * resource relations is insignificant. Firms benefit from positive evaluations when they provide resources to their stakeholders. Models VI to X replicate these results using an ordered probit specification⁵.

INVESTIGATION 3. EXPLICATING STAKEHOLDERS' INTERPRETIVE WORK

Our analysis highlights that *receiving resources* from a focal firm is consistently associated with positive stakeholder evaluations, whereas *specialist stakeholders* are better able to detect decouplers compared with generalist stakeholders (Investigation 2). *Why* do some stakeholders see through the claims of decouplers more so than others? To address this question, we undertook a systematic analysis of our stakeholder interviews.

Method

We analyzed responses to two questions, 1. “What is the social responsibility of firms?” and 2. “What are your reasons for evaluating the firm’s sustainability performance (as you did)?” The first question is definitional, and the second question addresses the justification for the stakeholder’s evaluation. Similar to Investigation 1, we tagged themes as

⁵ We conducted numerous robustness checks. 1. Using generalized estimating equation models to account in an alternative way for the clustered nature of the data produces similar results. 2. Our analysis includes pair effects. This specification controls for variables on which the firms are matched. To control for all non-observables, we also used a firm fixed effects specification. Though the decoupler variable is perfectly correlated with the firm dummies, cross-level interaction effects can be estimated. The effects of resource relations and stakeholder specialism remain. 3. The distribution of the sustainability performance evaluations is moderately left-skewed. To reduce the skewness, we transformed the variable as per Tabachnick and Fidell (2001). All significant coefficients remain significant when using this transformed dependent variable.

they appeared. Though we were guided by linguistic structure, consistent with Investigation 1, our coding was initially open-ended, and we uncovered patterns (e.g., the use of pronouns) that had not been the focus of our theoretical overview. After identifying emerging patterns, we used the LIWC dictionary to code the interviews systematically and assess whether different kinds of stakeholders varied along these dimensions. Specifically, we compared the interviews of resource-receiving and non-resource-receiving, as well as specialist and generalist, stakeholders to see whether patterns were replicable across cases. We discuss the responses under two thrusts: 1. Why does resource transfer lead to positive evaluations? 2. Why is specialism associated with more accurate evaluations of sustainability performance?

Resource transfer and positive evaluations of sustainability performance

Constituencies with more at stake in terms of receiving resources from firms evaluated sustainability performance positively, irrespective of implementation. Two themes from our interview analysis collectively suggest why resource transfer led to positive evaluations of sustainability performance. First, resource-receiving stakeholders expressed a broader sense of identity, sometimes overlapping with that of firms, than did non-resource-receiving stakeholders. This was reflected in their usage of “we” (the first person plural pronoun) rather than “they” (the third person) when defining firms’ responsibilities. Second, they placed confidence in unobservable qualities (such as commitment) of the firms from which they received resources. This was reflected in their references to the future when justifying positive evaluations.

Identity orientation. Stakeholder accounts sometimes constitute a narrative of self (Halliday, 1985). When asked to define firms’ responsibilities, resource-receiving stakeholders represented their relationship with corporations differently than did non-resource-receiving stakeholders and showed signs of identifying with the focal firm. An NGO representative explicitly stated: “I have the DNA of PRECISION.”

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4 A subtle way in which resource-receiving stakeholders displayed a sense of
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6 relationship vis-à-vis firms is through the use of the first person plural pronoun - ‘we’ (‘us,’
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8 ‘our’) -, whereas non-resource-receiving stakeholders overwhelmingly used the third person
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10 plural pronoun – ‘they’ (‘them,’ ‘their’). Resource-receiving stakeholders were more likely to
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12 use “we” ($t(107) = 2.28$; $p < 0.05$) and somewhat less likely to use “they” ($t(107) = 1.45$; n.s.)
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14 when defining firms’ responsibilities. Indeed, they used “we” almost twice as frequently
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16 (1.41% of all words versus 0.80% in the case of non-resource-receiving stakeholders).
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18 Resource-receiving stakeholders did not necessarily perceive themselves as detached from
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20 the firms they purported to monitor. At the extreme, some stakeholders explicitly adopted the
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22 perspective of the focal firm. For instance, the representative of an activist group which had
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24 received substantial resources from SILICON stated:
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28 Definitely a company, as any other organization, has still the responsibility to the
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30 community around it. And of course when you speak of your community around in
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32 the global society, you speak of your team depending on the size of your company of
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34 course and your business. So I think *we* have, I mean *our company* has, a
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36 responsibility towards that. But *we* are not to be run by stakeholders.
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39 Whilst the above example illustrates a blatant conflict of interest, many resource-
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41 receiving stakeholders brought the discussion round to the joint outcomes of their activities
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43 with firms.
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46 *We’ve* had a very good relationship... so *we* should all be winners. (Public service
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48 provider organization, natural resources sector)

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50 PRECISION is incredibly important to us. *We’re* trying to grow that relationship quite
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52 significantly. (Digital inclusion activist group, high-tech sector)
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55 We note that not all resource-receiving stakeholders gave positive evaluations of
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57 firms’ sustainability performance. One activist group marked down SILICON for the pressure
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59 it exerted on its partners. Its spokesperson did not use “we” when describing its relationship
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with the firm (“They’ve clipped our wings.”). Non-resource-receiving stakeholders
systematically used the third person pronoun (“they”) when referring to firms. These

stakeholders marked themselves as distant observers, allowing them to question motives and accuse firms of acting strategically. The third person represents distance and often a dispassionate, even antagonistic, stance towards others (Pennebaker & Chung, 2007).

They are all very secretive. In those respects *they* are not of course something special. The only real difference is that *they* actually have a booklet [...]. If you ask more questions, first *they* are trying to beat around the bush and just escape the questions but are not giving an answer. Then when you return their letter, then *they* say that well we have a point. (Animal rights organization, chemicals)

One of the key criticisms against METALIC is that *they* use the typical “divide and rule” tactic of working with certain people within a community, cleverly generating their support. *They* find support from one part of the community rather than the other part. [...] *They* use initial agreement to wear down resistance from others. (Environmental organization, natural resources sector)

Just as managers develop identity orientations that can stretch beyond the boundaries of the firm to encompass their close stakeholders (Brickson, 2005), so too can stakeholders develop identity orientations that overlap with the firms they depend on.

Ontological commitment. When explaining their evaluations, resource-receiving stakeholders frequently referred to firms’ underlying qualities (e.g. commitment, dedication to doing good) rather than observed action. As an indicator, they used future-oriented language - more so than non-resource-receiving stakeholders, ($t(107) = 2.12$; $p < 0.05$) - which includes the future tense as well references to putative events in the future (e.g. ‘may’) (Chilton, 2014). They declared that firms were progressing towards implementation (even when they had not witnessed this yet).

We label this tendency as ontological commitment, which in the natural sciences refers to beliefs about unobservable properties (Enoch, 2011; van Fraassen, 1980). For example, an environmental partner of GREENMINE justified the positive evaluation by virtue of the “commitment of senior management” and the firm’s “sustainability commitment.” Stakeholders expressed confidence that firms would fulfil their public commitments, even if they had not done so yet. Rather than make specific observations, they mentioned

unobservable qualities, such as dedication, and referred to firms' progress (even if the goal remained distant). They viewed these as indicators that implementation would improve.

Where I see GREENMINE going, and some of this is taking them at their word, I would put them in the sort of six to seven range at the present moment. (Government official targeting inward investment, natural resources sector)

Yes, we have an alliance with SILICON to try to help them to change. We meet them regularly because of the alliance project. [...] No, I don't know what they do inside. I haven't got an idea of what they're aiming for from the alliance. But we've seen steady progression. (Interviewee, education organization)

Of course, stakeholders' confidence in firms may be well founded. By collaborating with firms, stakeholders believe that they gain insight into managers' motivations (which may not be apparent to outsiders reliant on public information). Nonetheless, non-resource-receiving stakeholders did not buy at face value the idea that focal firms would eventually improve their sustainability practices. Instead, these stakeholders reacted cynically. When they referred to qualities such as commitment, it was to distinguish them from actions.

The gap between commitment and the rhetoric of that commitment and the reality on the ground was and remains big. METALIC has a commitment. I don't doubt that METALIC has a genuine commitment, because, you know, the balance sheets speak for themselves [...] The reality of the impact, three or four (out of 10). The rhetoric, very high! I mean, I don't really think it's our job as a campaigning organization to say that you're not committed to this, because you don't know. There may be genuine commitment in a company, and then the PR department comes in... and turns it into rhetoric. (Aid agency, natural resources sector)

Specialist stakeholders and accurate evaluations

We identified two themes explaining why focus on a sole domain led to greater accuracy in evaluating firms' sustainability performance. First, specialist stakeholders demonstrated a more developed understanding of sustainability, which helped them to identify salient dimensions of performance. Second, specialist stakeholders emphasized empirical evidence as a basis for their judgments. They grounded their evaluations on the basis of observed performance rather than on the basis of future potential.

Non-negotiability. Whereas resource-receiving stakeholders overwhelmingly justified their evaluations by appealing to unobservable qualities such as commitment and engagement, specialist stakeholders had a more textured understanding of sustainability. Indeed, we were struck by the similarity of their language to that of implementor executives. In defining sustainability, they tended to use more exclusive language than did generalist stakeholders, though not systematically so ($t(107) = 1.46, n.s.$). Whilst their use of exclusive language reflected complex understandings, it also underscored non-negotiable standards (i.e. what firms must *not* do).

What I would expect them to do is to make healthy profit, *but* still have some principles for the social responsibly they have, which means the top priority first of all is nature, and of course normal income and all those things. They have an obligation to *not* harm the environment... When it comes to animals, which is obviously our [focus], they shouldn't harm any animals, either in testing *or* in their production methods. (Animal rights organization, chemicals sector)

I suppose it's whatever product or service they're delivering. If it's ethical and has an ethical dimension to it, that will be delivered in a way that's *not* morally reprehensible. So perhaps *not* overcharging for software in an economy, which is simply *not* able to sustain that price, which may promote piracy et cetera, that would be one aspect of it... *But* it's *not* just being mainstream. Many corporates who locate here will benefit from significant tax breaks and arrangements. With those financial benefits comes a responsibility to give something back to the community. (Digital inclusion organization, high-tech sector)

Their recognition of firms' needs to be profitable, whilst pinpointing non-negotiables, helped stakeholders assess how meaningful the metrics provided by firms were. Rather than accept firm-provided data at face value, they specified relevant metrics to track sustainability performance in the domains they cared about. For example, an environmental consultancy spokesperson criticized a firm for its lack of follow-through on its public commitments: "I came up with a lot of things they could have turned into KPI's [key performance indicators], and they don't do that." They placed weight on non-public data. Specialists declared themselves comfortable interpreting data such as detailed reports of environmental emissions and indicators of employee well-being. One example is the environmental campaign group,

GENUS FOUNDATION, which works to protect species diversity. The interviewee referred repeatedly to concrete environmental performance metrics and distinguished between firms on the basis of how well they performed on those metrics.

In contrast, generalist stakeholders with a broad focus expressed a wish list of goals for firms, rarely prioritizing any single issue. Such breadth in defining issues is associated with a less critical attitude towards information (Ülkümen, Chakravarti & Morwitz, 2010). When pushed in our interviews, sometimes admitted that the available metrics were “fuzzy.”

Society is very complex and I guess it depends on what you mean. Do they have responsibilities towards regulators and shareholders? Sure. I just think the term society can be interpreted in many different ways. Sure they have responsibility towards society, to create jobs, and beyond that, responsibility includes the shareholders. (*Social investment group, energy sector*)

Concern with empiricism. Specialist stakeholders, in explaining their evaluations, overwhelmingly referred to events that had occurred. This shows concern for empiricism. A linguistic marker of this concern, that we immediately noted when tagging the interviews, was whether stakeholders used the past tense. Overall, stakeholders used references to the past in only 42% of evaluations, but specialists were substantially more likely than generalists to use the past tense (68.57% versus 30.67% of interviewees used the past tense at least once in their evaluation; $X^2(2, N = 108) = 14.01$; $p < 0.01$). Specialists grounded their evaluations in observations of past behavior rather than future-oriented claims.

In the community we *looked* at in our report [...] about a hundred people *were killed* by military police who *were called* in after young people *locally demonstrated* against the oil industry at the plant. The manager of the station *called* in the military police, and they killed a hundred people. And that’s documented. That’s one of those examples that is well documented and you therefore *created* a situation where, I can’t imagine, how that sort of injustice can be dealt with. (*Relief and development agency, natural resources sector*)

Empirical observation led stakeholders to compare the conduct of different firms. A labor union representative, when asked to evaluate INGESTION, named five competitors to situate her evaluation. An energy regulator observed the conduct and profits of the main

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4 players in its sector, noting which ones had “space for more responsibility.” As one NGO
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6 representative specializing in environmental compliance reported:

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8 We *have been working* on two projects with companies, have been talking to a lot of
9 different companies. I think that SILICON is a bit too much on the blah-blah and too
10 little on the action. [...] They are looking for publicity...

11
12 In contrast, generalist stakeholders lacked exposure to a large number of firms
13 performing similar activities in the same sector. Even when they did not place the same
14 confidence as did resource-receiving stakeholders in firms’ public commitments, they rarely
15 named specific incidents. Instead, they often based judgments on the availability of data
16 (without regard for accuracy). For example, the representative of a customer association
17 declared about GREENMINE:
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25 GREENMINE’s *very visible*. They’re *visible* always, and if I compare it to
26 EXCAVATOR [competitor], I’d give EXCAVATOR a few marks less [for its
27 sustainability performance]. But, I don’t know if it’s true that they really do more than
28 EXCAVATOR simply because they’ve been more *visible* at conferences, organize
29 more activities... I don’t know anything about its internal organization.
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33 Generalist stakeholders eschewed direct comparisons with peer firms because they
34 lacked knowledge of specific incidents related to multiple firms’ compliance or misconduct.
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36 MONITOR, an activist group that tried to highlight corporate infringement in domains as
37 disparate as human rights, the environment, and corporate governance, referred to corporate
38 policies and standards and to events publicized in the media. The available information,
39 irrespective of its quality, affected perceptions of firms’ sustainability performance. An
40 industry think tank representative declared, “You can kind of infer performance from [the
41 company’s] reporting.” The ease of accessing public data was paramount.
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50 **DISCUSSION**
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52 Managers of firms that implement sustainability policy consistently talk differently
53 than managers of firms that do not keep their commitments. Our analysis suggests that
54 deception surfaces in the style of communication, with decouplers making sweeping claims.
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Though these claims fool some stakeholders (generalists), specialists see through them. Our perspective implies that choices of language are connected to mental representations in ways that are not apparent to many stakeholders. We propose that theory needs to be expanded to consider how language can inform our understanding of decoupling and stakeholders' interpretive work.

Decoupling and the Cognitive-Linguistic Perspective

Responding to the call for research into the limits firms face when they do not keep their public commitments (Westphal & Zajac, 1998), we draw attention to "the relationships between organizations and their environments" (Bromley & Powell, 2012: 36). Firms make commitments to stakeholders, who struggle to understand whether firms are working to realize these commitments. The cognitive-linguistic perspective highlights that subtle differences in language reflect differences in cognition. The novelty of this perspective is that stakeholders are often unwilling, or unable, to understand these subtle differences. Moreover, stakeholders' own language sheds light on why they interpret firms' sustainability performance as they do. In Table 6 we provide an overview of the features 1) that distinguish truthful from less truthful claims and 2) that characterize stakeholders' interpretive work.

Insert Table 6 about here

The cognitive-linguistic perspective stands in contrast to the information-asymmetry perspective. An assumption in the audit society (Power, 1997) is that external metrics have a disciplining effect on organizations (Sauder & Espeland, 2009). But, this ignores the need for stakeholders to interpret firms' claims and to make sense of available data. Whilst, at least in our empirical setting, the content of firms' claims is similar, firms that implement sustainability policy consistently communicate differently than firms that implement policy inconsistently. Managers in implementor firms qualify commitments by using exclusive language (e.g. 'but,' 'not'). Exclusive language articulates distinctions between concepts and indicates sophisticated understandings (see Zerubavel, 1991). Ironically, much sustainability

discourse emphasizes a holistic view of serving multiple stakeholders, and it may be natural that managers with less sophisticated understandings revert to sweeping statements that sustainability is about doing good for everyone.

Our investigation of natural language forges a link between the language of executives, stakeholders, and their mental models in a context where social desirability bias is a potential problem. Managers with developed understandings make qualified statements that are reflected in their grammar (especially, the use of exclusive language to draw distinctions between concepts related to sustainability). Similarly, other features of grammar such as pronouns (e.g. resource-receiving stakeholders’ use of “we” when describing firms) and tense (e.g. specialists’ use of the past when explaining their evaluations versus resource-receiving stakeholders’ use of the future who point to the hope that firms will make good their commitments) are indicators of manager and stakeholder cognition.

Our study is based on a small number of firms, and we therefore encourage efforts to replicate these findings on larger samples and in different contexts, perhaps using texts such as firms’ calls with analysts. Moreover, although we observe important differences in the communications of implementors and decouplers, we do not claim that executives in decoupler firms are being *deliberately* deceptive. Recent thinking highlights that managers may be unaware of how to achieve their commitments (Bromley & Powell, 2012). Their language may reflect their own confusion more than any intentional attempt to mislead audiences. Indeed, one characteristic of loose coupling is that managers lack understanding of how different activities are related (Weick, 1976). Such lack of understanding would be consistent with the ways in which many interviewees equated various subcomponents of sustainability without drawing contrasts, or recognizing trade-offs, between them.

Stakeholder Heterogeneity and Decoupling

As depicted in Figure 2, our findings highlight two dimensions that matter for whether stakeholders observe the difference between firms’ public commitments and actual practices.

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4 These two dimensions—the conflicts of interest that influence stakeholders’ willingness to
5 see through firms’ claims, and the expertise to evaluate practices— help to explain why
6 stakeholders interpret the same firm’s sustainability performance differently.
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11 Insert Figure 2 about here
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14 The language that stakeholders use in evaluating firms’ sustainability sheds light on
15 their interpretive work. Specialists sometimes share the tendency of managers in implementor
16 firms to use exclusive language when defining sustainability. They, too, make precise
17 definitions, and their focus allows them to pinpoint non-negotiable standards. Specialists
18 discount image-enhancing attempts because they ground their evaluations of firms in
19 empirical observation. Such empiricism is possible because their focus helps them to know
20 what kinds of data to look for. In contrast, generalists rely on peripheral cues, such as
21 certifications, and are more likely to be taken in by sweeping claims.
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30 Stakeholders also vary in their motivation to detect the state of practice inside firms.
31 Constituencies with a lot at stake in their relationships (so much so that some use “we” when
32 describing their relationship with a focal firm) seek justification for any misdeeds they spot
33 (see Shapiro, 1991) and ignore dissonant information (for example, that a partner is not doing
34 what it claims). This does not mean that stakeholders wilfully turn a blind eye. People may be
35 genuinely unaware of their ignorance in such circumstances (Bazerman & Moore, 2013).
36 Stakeholders who accept resources view these transfers as evidence of a commitment to do
37 the “right thing” and attend to this data point rather than any event which marked the firm’s
38 compliance or misconduct. From this perspective, stakeholders may be as naïve as they are
39 complicit.
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50 These differences across stakeholders matter. Existing stakeholder typologies focus
51 on the roles of stakeholders (Post et al., 2002) or the attributes that make stakeholders salient
52 (Mitchell, Agle & Wood, 1997). The dimension of stakeholder specialism is not salient to
53 managers who distinguish primarily between market and non-market stakeholders (David,
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Bloom & Hillman, 2007). Diverse stakeholders contribute to corporate performance (Harrison, Bosse & Phillips, 2010; Tantalo & Priem, 2014). A default response is to attend to high-profile actors, i.e. often large stakeholders with multiple areas of concern. But, firms can be caught off-guard by focused activists. Cynically, partnering with critical stakeholders might neutralize their opposition.

Future Research Directions

Our cognitive-linguistic perspective draws attention to the connection between language and cognition. Many studies focus on the content of discourse and on deliberate attempts to persuade others (Green, Li & Nohria, 2009; Phillips, Lawrence & Hardy, 2004). But, grammar – *how* ideas are grounded and structured in language - reveals information about cognition that is not easily elicited by conventional content-centric approaches (Chung & Pennebaker, 2008). A particular strength in arenas that give rise to social desirability bias is that people are less able to manipulate how they speak than they can control the substance of what they say.

A grammar focus is thus consistent with the role of less deliberative processes in making judgments and decisions (Bazerman & Moore, 2013; Hodgkinson & Healy, 2011). There remains potential to apply the cognitive-linguistic lens to assess a wide range of corporate communications, especially executives’ communication with markets. Can executives’ grammar provide insights that mere content does not? Moreover, do analysts pick up on subtle linguistic cues? Based both on the present study and on prior literature, audiences appear to be more sensitive to content than to how it is communicated. We encourage studies that seek to replicate our findings in other contexts where the challenge of confounding stakeholders might be greater. For example, analyzing communications of repurchase announcements would be productive, as would identifying whether analysts see through the announcements of firms that ultimately do not buy back stock as promised.

Firms also make available vast quantities of data on their sustainability performance. A relevant line of inquiry is to consider how stakeholders are influenced by metrics. The availability of data in today's society is not a panacea because data must be interpreted (Achinstein, 1963). The disciplines of ethnomethodology – the study of sensemaking (Heap, 1975) - and ethnostatistics – the study of data presentation and interpretation (Gephart, 1988) - are promising here. Two related subjects of study are 1) firms' rhetoric to present data in the best possible light, and 2) the sensemaking of these data by audiences. Our study implies that stakeholders are differentially influenced by rhetoric, and that specialists question the sources of data that they are presented with.

A final avenue of research concerns the influence of stakeholder heterogeneity on efforts to influence corporate conduct (Wijen, 2014). Action to set corporate standards involves coordination amongst multiple interest groups that have multi-faceted motives (Battilana et al., 2015; Bridoux & Stoelhorst, 2014) and approach corporations differently (den Hond & de Bakker, 2007). We suggest a mismatch between potent stakeholders who influence practice and perceptive stakeholders who can best monitor practice. Understanding how stakeholders share information is an important avenue for research that has long recognized the interdependence of stakeholders (Rowley, 1997). In any case, our results should not be viewed as wholly pessimistic for stakeholder influence on business. On average, we find that the initiatives that satisfy stakeholders involve not only peripheral activities, but also those that concern firms' core operations.

CONCLUSION

In this study we extend theory about the conditions under which stakeholders see through firms' claims in the context of sustainability. In doing so, we call attention to the linguistic structure of firms' claims and to the interpretive work of stakeholders in making sense of firms' sustainability performance. The linguistic structure of implementors' and decouplers' claims differs. Whilst both types of firms communicate similar content,

decouplers' claims are more sweeping. Stakeholders differ in their motivations and abilities to see through these claims. Our findings indicate that theories of corporate-stakeholder relations need to become more nuanced by studying the cognitive and motivational conditions that lead stakeholders to evaluate firms' performance in different ways.

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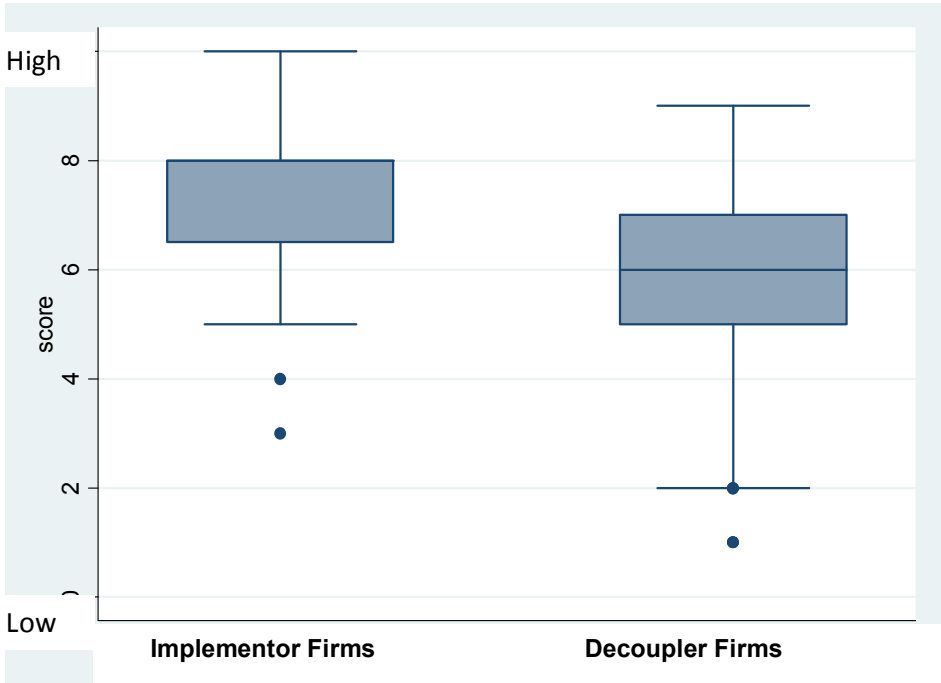
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FIGURE 1
Boxplot: Stakeholder Evaluations of Firms' Sustainability Performance



Boxplots depict the range of evaluations, with lower quartiles (Q1), medians, upper quartiles (Q3), marked. Outliers are also indicated. Performance ratings are on a scale of 1 to 10 (1 = very poor sustainability performance, 10 = very high sustainability performance).

FIGURE 2
Heterogeneity Model of Stakeholder Evaluations

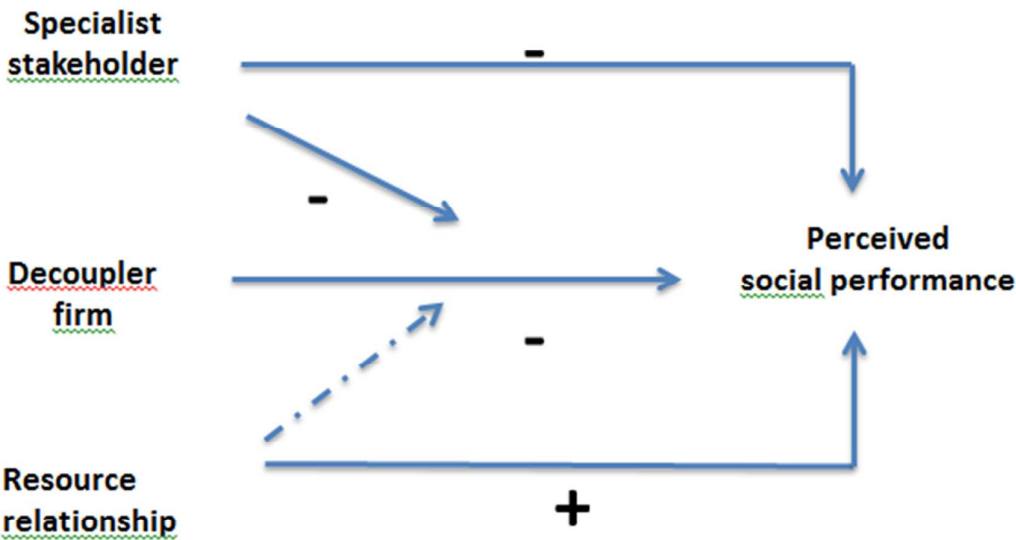


TABLE 1

Cases

Company	Industry	Implementor/ decoupler	HQ	Geographic Expansion
Cleantech	Chemicals	Implementor	N. Europe	High
Toxic	Chemicals	Decoupler	N. Europe	High
Greenmine	Mining	Implementor	Anglo-Saxon ⁶	High
Metallic	Mining	Decoupler	Anglo-Saxon	High
Highfinance	Banking	Implementor	S. Europe	Moderate
Capital	Banking	Decoupler	S. Europe	Moderate
Newton	Energy	Implementor	S. Europe	Low
Hertz	Energy	Decoupler	S. Europe	Low
Precision	High-Tech	Implementor	Anglo-Saxon	High
Silicon	High-Tech	Decoupler	Anglo-Saxon	High
Nutrition	Food/beverages	Implementor	N. Europe	High
Ingestion	Food/beverages	Decoupler	N. Europe	High

⁶ Anglo-Saxon countries, encompassing North America and the United Kingdom, differ from continental European countries in that they emphasize shareholder capitalism and dispersed corporate ownership in contrast to the stakeholder capitalism and concentrated ownership more common in continental Europe (Hall & Soskice, 2001).

TABLE 2
Data from Manager Interviews and Firm Sustainability Reports

			Manager Interviews ("What is CSR?")		Sustainability Reports					
Sector	Firm Type	Firm	Inclusive language	Exclusive language	Most frequently mentioned stakeholders	Inclusive language	Exclusive language	Ratio of Past to Future	# Data charts	# Data tables
Natural resources	Implementor	Greenmine	5.69	4.13	Employees, communities, environment	7.67	0.80	3.70	31	14
	Decoupler	Metalic	6.56	1.97	Employees, communities, environment	9.84	0	3.00	8	2
Chemicals	Implementor	Cleanchem	6.58	3.50	Environment, employees, communities	8.82	1.82	0.87	4	12
	Decoupler	Toxic	7.4	2.80	Customers, communities, environment	8.93	0.32	0.14	15	2
IT	Implementor	Precision	5.85	3.37	Communities, customers, employees	10.69	1.53	1.33	11	12
	Decoupler	Silicon	6.55	0.23	Communities, employees, NGOs	11.62	0.59	1.00	2	0
Food, drink	Implementor	Nutrition	7.05	2.94	Environment, employees, communities	11.07	0.81	0.67	26	6
	Decoupler	Ingestion	7.39	2.46	Environment, employees, communities	9.09	0.68	0.46	13	5
Energy	Implementor	Newton	4.18	2.03	Environment, shareholders, employees	5.71	0	3.68	47	36
	Decoupler	Hertz	5.56	2.99	Environment, employees, shareholders	8.14	0.16	2.25	0	26
Banking	Implementor	Highfinance	3.22	2.89	Customers, shareholders, employees	10.03	2.38	0.88	27	22
	Decoupler	Capital	7.21	1.20	Customers, employees, environment	8.35	1.19	1.00	12	11
Inclusive and exclusive language measures reflect their prevalence as a percentage of the total number of words used. The LIWC coding (Pennebaker et al., 2007) was used to code these and the ratio of past- to future-related language. In the sustainability report analysis, measures have been adjusted by a random amount between +1 and -1% to maintain firms' identities as confidential.										

TABLE 3
Sustainability Performance Ratings by Firm and Stakeholder Type

Sector	Firm Type	Firm	Mean rating (1-10)	Resource-receiving stakeholders	Specialist stakeholders
Natural resources	Implementor	Greenmine	7.56	7.57	8.00
	Decoupler	Metalic	4.61	6.00	3.20
Chemicals	Implementor	Cleantech	8.67	8.00	8.00
	Decoupler	Toxic	5.38	7.00	2.50
IT	Implementor	Precision	7.73	8.22	8.00
	Decoupler	Silicon	6.62	7.00	5.71
Food, drink	Implementor	Nutrition	7.33	7.00	7.00
	Decoupler	Ingestion	6.33	8.00	5.50
Energy	Implementor	Newton	6.80	7.75	7.50
	Decoupler	Hertz	6.75	7.00	6.50
Banking	Implementor	Highfinance	6.50	8.00	5.00
	Decoupler	Capital	5.33	8.00	5.33

TABLE 4
Descriptive Statistics and Correlations

Variable	Measurement	Mean	SD	1	2	3	4	5	6
1. Sustainability evaluation	1-10	6.657	1.829	-					
2. Decoupler	0/1	0.500	0.502	-0.376*	-				
3. Resources received	0/1	0.361	0.483	0.396*	-0.328*	-			
4. Specialist	0/1	0.389	0.490	-0.272*	0.114	-0.046	-		
5. Social stakeholder	0/1	0.556	0.499	-0.184	-0.037	0.090	0.293*	-	
6. Contact frequency	0-12	1.046	1.363	0.153	-0.048	0.372*	-0.041	-0.093	-

*significant at $p < 0.05$; N= 108

TABLE 5
OLS and Ordered Probit with Pair Effects Predicting Stakeholder Evaluations of Firms' Sustainability Performance

	DV: Social Performance Evaluation (Ordinary Least Squares)					DV: Social Performance Evaluation (Ordered Probit)				
	I	II	III	IV	V	VI	VII	VIII	IX	X
Decoupler		-1.169*** (0.248)	-0.925*** (0.272)	-0.962*** (0.252)	-0.923*** (0.260)		-0.805*** (0.164)	-0.664*** (0.185)	-0.700*** (0.175)	-0.663*** (0.177)
Resource relations			0.846** (0.371)	0.753* (0.370)	0.851** (0.364)			0.636** (0.272)	0.587** (0.276)	0.640** (0.252)
Specialist stakeholder			-0.755 (0.443)	-0.706* (0.390)	-0.752 (0.464)			-0.459 (0.283)	-0.437* (0.241)	-0.457 (0.296)
Decoupler * specialist				-1.336* (0.643)					-0.944** (0.414)	
Decoupler * resources					0.035 (0.594)					0.026 (0.445)
Social stakeholder	-0.638* (0.324)	-0.756* (0.356)	-0.627 (0.389)	-0.658 (0.391)	-0.625 (0.381)	-0.348* (0.183)	-0.448** (0.214)	-0.403* (0.238)	-0.434* (0.238)	-0.401* (0.231)
Contact frequency	0.057 (0.105)	0.072 (0.068)	-0.027 (0.072)	-0.038 (0.072)	-0.028 (0.079)	0.019 (0.065)	0.029 (0.047)	-0.041 (0.051)	-0.049 (0.050)	-0.041 (0.055)
Pair effects	YES	YES	YES	YES	YES	YES	YES	YES	YES	YES
Constant	7.271*** (0.383)	7.656*** (0.263)	7.454*** (0.369)	7.615*** (0.321)	7.455*** (0.380)	1.679*** (0.307)	1.544*** (0.261)	1.736*** (0.323)	1.649*** (0.329)	1.735*** (0.335)
Observations	108	108	108	108	108	108	108	108	108	108
F	8.94***	81.00***	101.69***							
R^2	0.207	0.289	0.359	0.388	0.359	Pseudo R^2 0.052	0.08	0.103	0.114	0.103

Robust standard errors in parentheses; *** p<0.01, ** p<0.05, * p<0.1

TABLE 6
Linguistic Markers of Firms' Communications and Stakeholder Evaluations

Finding	Dimension	Conceptualization	Operationalization	Examples from interviews
How do decouplers and implementors differ in communicating sustainability commitments?	Qualified commitments	Structuring ideas by making distinctions and qualifications: Exclusive language sets boundaries, reveals complex understanding, (Pennebaker & King, 1999), and indicates truthful communication (Newman et al., 2003)	Exclusive language, e.g. "but," "not" (LIWC coding), inclusive language, e.g. "and," "additionally" (LIWC coding)	"We have clear responsibilities for the employees on board... <i>But</i> we should <i>not</i> go out and claim that we can change the world. <i>But</i> , we can at least behave, ethically." (Cleantech executive)
	Empirical orientation	Grounding events in the past: Concrete events are usually described in the past tense (James, 1976)	Ratio of past language e.g. "did" (LIWC coding) to future language, e.g. "will," "may" (LIWC coding)	"With five research institutions, which direct medical research, we <i>have donated</i> technology and software which will help them perform the computer-intensive calculation that type of research requires." (Precision executive)
Why do resource-receiving stakeholders evaluate sustainability performance positively (even when firms do not implement)?	Identity orientation	Grounding oneself vis-à-vis others: "We" can indicate positive relationships (Simmons, Gordon & Chambliss, 2005) and group identity (Tausczik & Pennebaker, 2010).	First person plural pronouns e.g. "we," "us," "our" (LIWC coding), versus third person plural pronouns, e.g. "they," "them," "their" (LIWC coding)	"They make a small financial contribution... <i>We</i> have this natural relationship because we are based in the same city. It goes beyond the sheer content of the work, a very friendly relationship." (Standards organization)
	Ontological commitment	Grounding ideas in the present: Perceived properties are usually grounded in the present or future tense (James, 1976)	Future language, e.g. "will," "may" (LIWC coding)	"[They] have yet to start monitoring and they haven't expressed the desire to do so. That <i>will come in time</i> ." (Employee diversity organization)
Why do specialist stakeholders evaluate sustainability performance more accurately?	Non-negotiables	Structuring ideas by making distinctions: Exclusive language sets boundaries, reveals complex understanding, (Pennebaker & King, 1999)	Exclusive language, e.g. "but," "not" (LIWC coding)	"They are <i>not</i> to replace government. <i>But</i> , they also have a responsibility to fulfil business objectives in a way that does <i>not</i> add to the detriment of wider society." (Environmental organization)
	Empirical orientation	Grounding events in past: Concrete experiences usually grounded in past tense (James, 1976)	Use of past tense (perfect, past, pluperfect)	"Essentially what <i>they did</i> was add insult to injury by visiting a whole load of bad community projects to buy their social license to operate." (Anti-poverty group)

APPENDIX 1

Social Rating Data

We used social ratings to establish an initial short list of firms that we used as input for the subsequent main assessment using managerial interviews.

Our primary source of social ratings was the Innovest social performance data set, also compiled by MSCI ESG Research which compiles the widely used KLD data (e.g., David, Bloom & Hillman, 2007). We used scores from 2005 and 2006, coinciding with the period of our interviews. The Innovest dataset measures 36 variables related to firms’ sustainability. We isolated 20 variables that encompass peripheral activities (e.g., adequacy of sustainability reporting, adoption of standards) and substantive activities (integration of sustainability in strategic decision-making and employee training). Exploratory factor analysis shows that two factors account for more than 50% of the variance across the data. One factor loads on items such as certification, reporting, and auditing (i.e., activities related to external communication and symbolic action), whereas the second loads on items such as stakeholder capital, local communities, and the supply chain (i.e., often more substantive activities). Within each matched pair, the two firms differed in their performance on more substantive dimensions, as well as their performance overall. The high performer in each pair achieves a rating of AAA, the highest possible, whereas the low performer achieves, on average, a rating of BBB, i.e., three levels lower on a seven-level letter scale.

Our secondary source of social performance data is the GC+ dataset, also provided by MSCI ESG Research. The GC+ data assesses the degree to which firms adopt policies, *and implement*, sustainability practices consistent with the United Nations’ Global Compact. Though Global Compact signatories commit to 10 human, labor, and environmental principles, they monitor their own compliance. Being a member of the Global Compact “does not mean that the Global Compact recognizes or certifies that these companies have fulfilled the Compact’s principles” (Global Compact, 2000).

The GC+ dataset scores firms on the basis of their policies on labor rights, human rights, the environment, and governance. It also rates their implementation according to the same dimensions. The GC+ policy scores show no significant difference in the degree to which implementors and decouplers in our sample have appropriate policies in place (7.3 versus 6.6 out of a maximum score of 10 in terms of policy). However, implementation differs across the firms *within* each matched pair of firms. Based on the GC+ implementation score, the implementor firms in our sample score, on average, 8.2 out of 10, whereas decoupler firms score 6.1 out of 10, and the performance differences hold across the individual domains (i.e., labor rights, human rights, environment, and governance)⁷.

⁷ The exception is the pair of firms in the food and drink sector, where the implementor firm did not receive consistently higher performance scores in the 2006 GC+ data, though its performance was rated consistently higher across all relevant dimensions in the main Innovest database in 2005-06 and in later versions of the GC+ data. We performed a robustness check by omitting the food and drink pair from our sample to check that our results in Investigation 2 do not depend on the inclusion of these two firms. These occasional inconsistencies across social rating data (Chatterji et al., 2015) are why we interviewed a large number of managers across the firms to make the final selection.

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